

# Retention campaign: fund it, but fix the targeting

Which expiring subscribers should receive retention spend, and what a save is worth

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Subscriber Growth analysis · March 2017 expiry cohort · 200,000 sampled subscribers

# We have budget for 9,999 contacts and 23,452 subscribers who might need one

## The moment

Around 970,000 subscriptions expire each month. Each is a renewal decision the company either wins or loses.

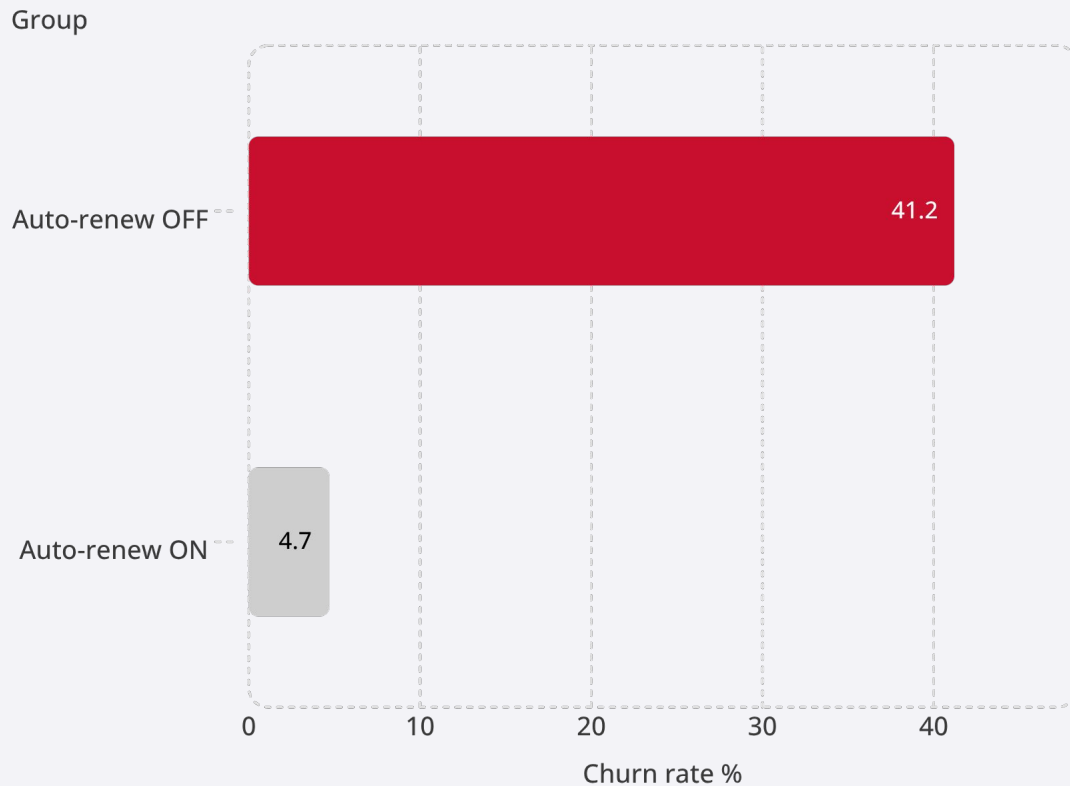
## The campaign

An outbound save offer — push, email, in-app — to subscribers approaching expiry. Contact capacity covers about 5% of the cohort.

## The question

Finance wants the spend justified before release. Nobody has checked whether the people we contact are at risk, whether they are worth saving, or what a save can cost.

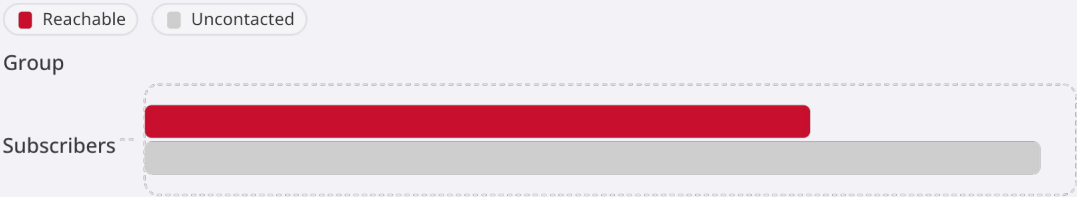
# The team's instinct was right — auto-renew status is the strongest signal we have



A 36.5 percentage-point gap. Two thirds of it survives controlling for tenure and plan length, so this is not simply a proxy for customer type.

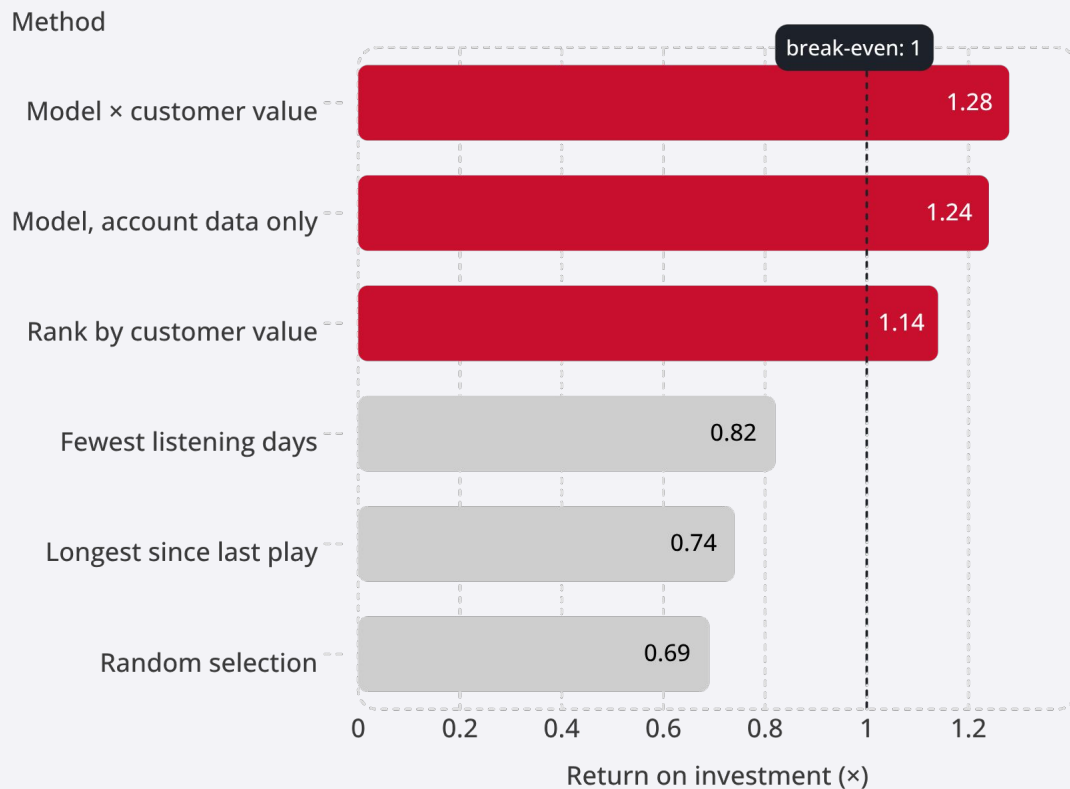
□ We set out to test whether the current rule targets the wrong people. It does not. That changes the question.

# The rule flags 23,452 subscribers. We can contact 9,999.



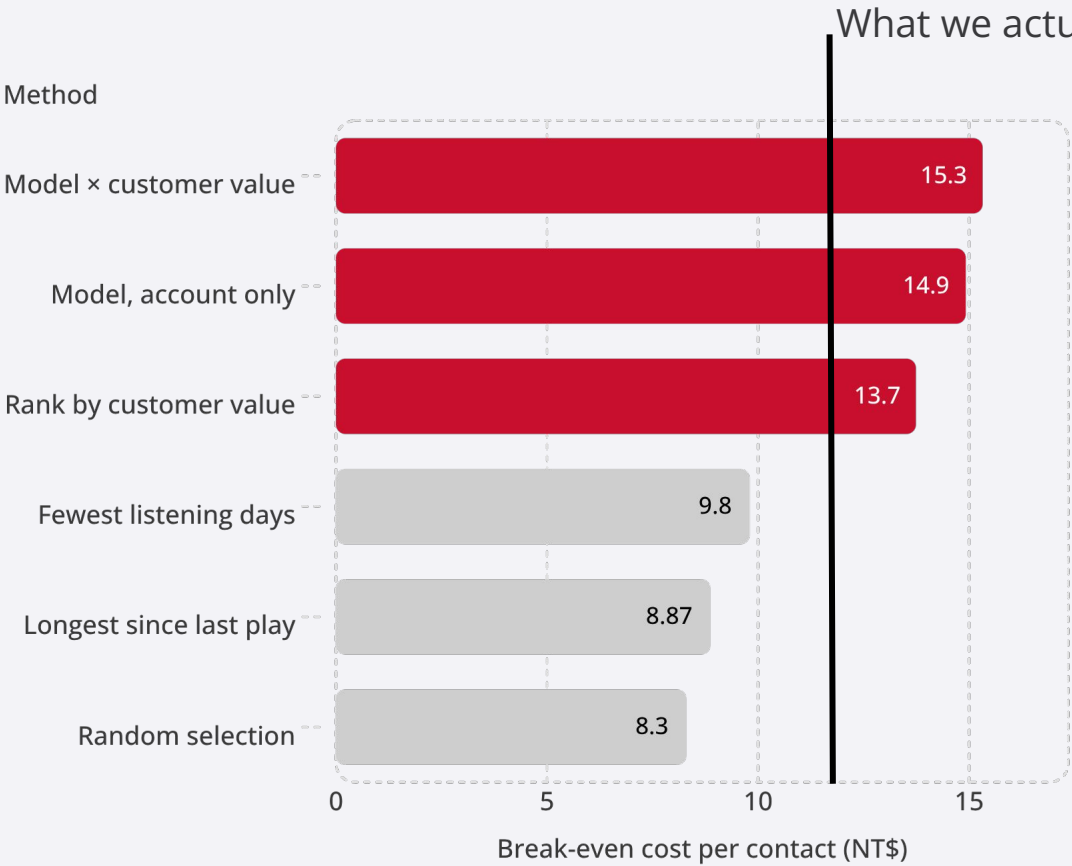
Today, which 9,999 get contacted is effectively arbitrary. That is the open question this analysis answers.

# Whether this campaign pays back depends on the list, not the budget



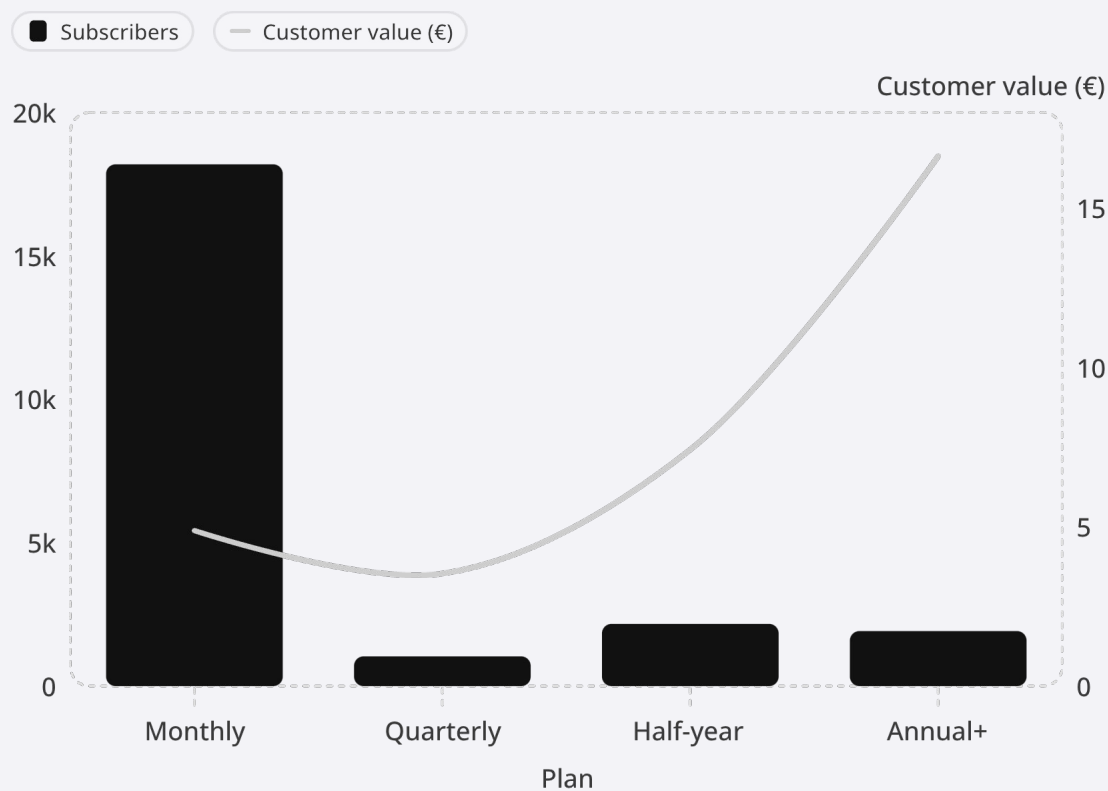
Same budget. Same 9,999 contacts. Worst method loses €1,088 a month; best returns €977. A **€24,780 annual swing** from ordering alone.

# Above NT\$15 per contact, nothing works



Random targeting breaks even below what we already pay, so it cannot work at any budget. The recommended method leaves 28% headroom if contact costs rise.

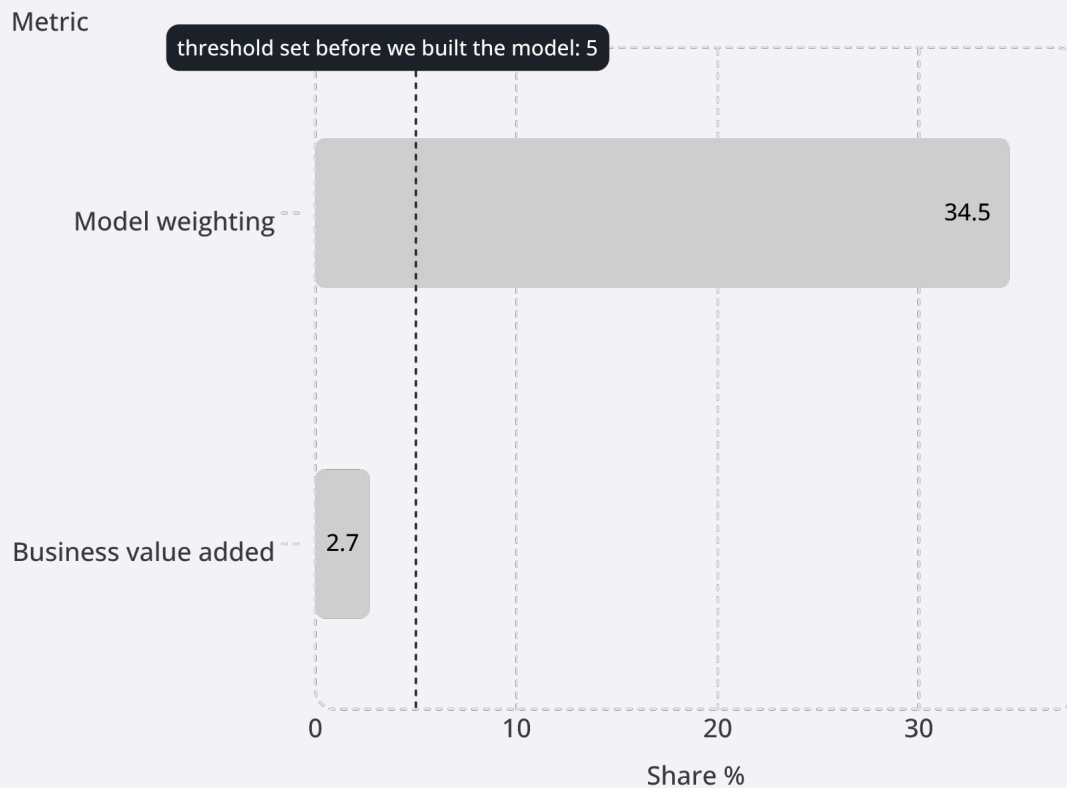
# A fifth of the flagged group never intended to renew — and they hold 63% of the value



A long plan with auto-renew switched off is a prepaid purchase, not a subscription. When the time runs out, the product worked exactly as sold. These customers need a re-purchase prompt, not a save offer — **and the 8% save rate assumed elsewhere in this analysis almost certainly does not hold across both behaviours.**

□ Monthly is 78% of subscribers but 37% of at-risk value. The three prepaid bands are 22% of subscribers and 63% of value.

# Listening behaviour looks important and is not worth building for



Listening data makes the model look better on paper — accuracy rises from 0.764 to 0.796. At the contact volume we can actually reach, it adds 2.7% more retained value. We set a 5% bar before fitting the model, and it did not clear it.



Do not build behavioural scoring infrastructure. The account fields already in the billing system do the work.

# Four decisions

1

## Fund the campaign, but rank the list by expected value

Risk score multiplied by customer value, not by risk alone. Returns 1.28× against 0.69× for the current arbitrary selection. **Owner: Subscriber Growth**

3

## Hold contact cost below NT\$15

Above that the campaign stops paying back regardless of targeting. **Owner: CRM**

2

## Split the treatment

Monthly subscribers get a save offer. Prepaid-block customers get a re-purchase prompt. One message for two behaviours is leaving value on the table. **Owner: CRM**

4

## Do not build behavioural scoring

It adds 2.7% of value for a meaningful engineering cost. **Owner: Product Analytics**

# What this analysis cannot tell you

## → No causal claim

Everyone in this data was observed, not randomised.  
We can say which subscribers are at risk; we cannot yet say the campaign changes their behaviour.

## → One cohort, one month

March 2017. No seasonality view.

## → The 8% save rate is assumed, not measured

The recommendation holds down to 4%, but it has never been tested.

## → Next step: a holdout test

Withhold contact from a random 10% of the target list, measure the difference in renewal. Four weeks, and it converts every figure here from an association into a number Finance can rely on.

Assumes 8% campaign uplift and 30% contribution margin; both sensitivity-tested. Figures in EUR at a fixed NT\$34 = €1.